

ECONOMY — Banking, Monetary Policy & Financial System

Batch 5 of 10 · Sources: Parmar Ch.6 (Banking Pt.1) + Ch.7 (Monetary Policy) + Ch.8 (Banking Pt.2) + Lucent §9 (Financial System) + §11 (Money, Banking, Insurance) · PYQ buckets "03 Money and Banking" (30 Qs) + "13 National Financial Institutions" (4 Qs) · ★ = tested in a real past SSC paper

1 Reserve Bank of India (RBI)

Recommended by the **Royal Commission on Indian Currency & Finance** (chaired by **Hilton Young, 1926**). Established under the **RBI Act, 1934**; began operations **1 April 1935, Calcutta**; **nationalised 1 Jan 1949**; HQ moved to **Mumbai, 1937**. First Governor: **Sir Osborne Smith**; first Indian Governor: **Sir C.D. Deshmukh**.

HOOK RBI Governors' chronology ★: Dr. Y.V. Reddy (2003-08) → Dr. D. Subbarao (2008-13) → [Raghuram Rajan/Urjit Patel gap] → Dr. Urjit R. Patel (2016-18) → [Shaktikanta Das] → Shri Sanjay Malhotra (2024-present) ★ — a tested chronological-ordering question.

RBI = "**Bank of Banks**" (regulator under Banking Regulation Act 1949: licensing, CRR/SLR, repo rate) + **Monetary Authority** + Currency printer (except ₹1 note/coins — Ministry of Finance) + "**Lender of Last Resort**".

2 Banking Reforms — Narasimham Committees

Committee	Focus	Key recommendations
Narasimham-I (1991) ★	Liberalisation post-1991	↓ SLR/CRR; prudential norms & CRAR (Capital Adequacy Ratio) ★ to improve transparency/asset quality/competitiveness (Basel-aligned); encouraged foreign banks to expand in India ★ (not restrict them — tested distractor)
Narasimham-II (1998) ★	Strengthening & global competitiveness	Merger/consolidation of PSBs ★ into 3-4 globally competitive banks; ↓ govt shareholding to 33%; ARCs for NPA management ★ (not "reduce lending" or "privatize all" — tested distractors)

HOOK **Board for Financial Supervision (BFS) ★** (PYQ-book-only, see A.2) — established within RBI in **1994**, post-1991 reforms, to supervise banks/FIs/NBFCs for financial stability (not NABARD, SAT, or MSME Credit Bureau — tested distractors).

3 Banking History & Nationalisation

Bank of Hindustan (1770, Calcutta) = first bank. Presidency Banks: Calcutta (1806), Bombay (1840), Madras (1843) → merged into **Imperial Bank of India (1921)** → nationalised & renamed **State Bank of India, 1955**. First Indian-owned bank: **Allahabad Bank (1865)**.

HOOK Bank **nationalisation, 19 July 1969 ★** — **14 major private banks** (deposits >₹50 crore) nationalised, to extend rural banking, ensure agri/small-industry credit, reduce private monopoly ★. A further 6 banks nationalised in 1980 (deposits >₹200 crore).

Lead Bank Scheme ★ — launched by RBI, **December 1969 ★**, based on **Nariman Committee** recommendations ★; assigns one bank per district (Area Approach) to lead rural credit/banking expansion.

Regional Rural Banks (RRB): RRB Act 1976; ownership split Centre 50% / sponsor commercial bank 35% / State 15%; supervised by NABARD, regulated by RBI; first RRB = **Pratham Grameen Bank, 2 Oct 1975, Moradabad**.

4 Types of Money & Motives for Holding It

Type	Meaning
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Fiat Money ★	Govt-declared legal tender, NOT backed by gold/silver ★ — modern currency systems run on trust + govt backing, not convertibility to physical commodities (a tested concept)
Fiduciary Money	Accepted via mutual trust — cheques, tokens
Plastic Money	Debit/credit/prepaid cards
Hot Money	Funds moved quickly across borders/markets for short-term gain

HOOK Reasons to hold money ★: **Transaction** (daily spending), **Precautionary** (emergencies), **Speculative** (by J.M. Keynes — investment timing, e.g. buying stocks on a dip). **Liquidity Preference Theory** ★ = Keynes's theory of demand for money — interest rates determined by money demand/supply, not just savings/investment (a tested "another name" question). **Cambridge Cash Balance Approach** ★ (Marshall, Pigou, Keynes) — value of money tied to demand to hold cash balances, contrasted with **Fisher's velocity-of-transactions** approach ★ (a repeatedly tested "another name for X approach" pairing).

HOOK **Speculative Demand for Money** $\propto 1/\text{Interest Rate}$ — inverse relationship: rates $\uparrow \rightarrow$ people invest in bonds, hold less cash; rates $\downarrow \rightarrow$ returns low, hold more cash. **Liquidity Trap** ★ = rates so low, speculative money-demand curve is perfectly/infininitely elastic (horizontal) — monetary policy becomes ineffective (Keynes).

Paradox of Thrift (Keynesian) — individuals saving more in a downturn collectively reduces aggregate demand and total savings economy-wide.

5 Reserve Requirements & Monetary Policy Tools

CRR	SLR ★
Cash reserve with RBI; no interest earned	Liquid assets (cash/gold/govt securities) held by the bank itself ★; interest earned; mandatory reserve requirement of commercial banks

TRAP $\uparrow$ CRR/SLR **reduces** banks' lending capacity ★ (they must set aside more, less left to lend) — NOT increase it (a tested Assertion-Reason flips this). **Money Multiplier** = $1/\text{CRR}$ ★ — inversely related to CRR/reserve requirements; cash held by the public (not deposited) is a "**leakage**" that also reduces the multiplier ★.

Tool	Mechanism
Repo Rate ★	Rate at which RBI lends short-term to banks against govt securities as collateral ★ — $\uparrow$ repo $\rightarrow$ costlier bank borrowing $\rightarrow$ $\downarrow$ money supply $\rightarrow$ controls inflation ★
Reverse Repo	RBI borrows from banks (banks park surplus funds), against govt securities
Bank Rate	RBI's long-term lending rate to banks, without collateral
MSF	Emergency overnight borrowing by banks from RBI, above repo rate, using G-Secs within SLR quota
OMO ★	RBI buys/sells govt securities in the open market to manage liquidity ★ (also called sterilization)

MPC (Monetary Policy Committee) — based on **Urjit Patel Committee** recommendations; 6 members (3 RBI incl. Governor as chair + 3 Govt); meets bi-monthly; decides repo rate/CRR changes.

HOOK **Expansionary Monetary Policy** ★ = central bank cuts rates to stimulate growth/spending during a slowdown (NOT contractionary/fiscal-stimulus/QE as separate labels — the exact tested term is "expansionary"). **Debt Monetisation** ★ = RBI directly buys govt bonds/securities to fund the fiscal deficit, printing new currency $\rightarrow$ raises money supply $\rightarrow$ often high inflation ★ (opposite of raising rates or cutting money supply).

HOOK Financial intermediaries (banks) transmit MPC's repo-rate changes to the real economy by adjusting their own lending/deposit rates ★ — a directly tested Assertion-Reason (both TRUE, R correctly explains A).

6 Money Aggregates & Liquidity

Liquidity order: **Cash > Gold > Cheque > Bond**; Demand Deposit more liquid than Term Deposit.

Aggregate	Components	Alt. name ★
M0	Currency in circulation + Banker's deposits with RBI	High-Powered/Base/Reserve Money
M1 ★	Currency with public + other RBI deposits + Demand Deposits	Narrow Money ★
M2	M1 + Post Office savings deposits	—
M3 ★	M1 + Net time deposits of commercial banks	Broad Money ★ / Aggregate Monetary Resource
M4	M3 + Total Post Office deposits	—

Reserve Money ("does NOT include") ★ — M0 is also called Central Bank Money, Base Money, High-Powered Money; **"Savings Money" is NOT a synonym ★** (a tested "which does NOT refer to reserve money" distractor).

7 Institutions & Regulators

Institution	Established	HQ	Role
NABARD	12 July 1982, B. Sivaraman Committee (1979)	Mumbai	Agri/rural finance; regulates cooperative banks & RRBs; no direct public dealing
SIDBI	2 April 1990	Lucknow	MSME finance
SEBI ★	Statutory body 12 Apr 1988, SEBI Act 1992	Mumbai	Investor protection, securities market regulation
IRDAI ★	Statutory body Apr 2000, IRDAI Act 1999	Hyderabad	Protects policyholders' interests ★ — insurance-sector regulator (not stock market/disinvestment/foreign trade — tested distractors); based on Malhotra Committee recommendations
PFRDA ★	23 Aug 2003	New Delhi	Regulates/develops the pension sector ★ — also administers NPS Vatsalya (2024)
NAFED	2 Oct 1958	New Delhi	Apex agri-marketing cooperative body
IDBI	1964 (RBI subsidiary; LIC later took 51% stake)	Mumbai	Industrial development finance

HOOK Insurance-sector reform: **R.N. Malhotra Committee ★** — report submitted **1994 ★** (constituted **1993 ★**); recommended opening insurance to private companies (1999-2000), leading to **IRDA Act, 1999 ★**.

HOOK Regulatory/customer-service bodies: **Banking Ombudsman Scheme** — first introduced **1995 ★** (Sec 35A, Banking Regulation Act 1949 — the raw extraction independently confirms this date via Parmar's own "RBI introduced Banking Ombudsman scheme in: 1995" line). **BCSBI** (Banking Codes & Standards Board of India, PYQ-book-only, see A.2) set up **18 Feb 2006 ★**; issued "Code of Bank's Commitment to Customers" in **July 2006 ★**. **Bharatiya Reserve Bank Note Mudran Pvt Ltd (BRBNMPL)** — established **3 Feb 1995 ★**, wholly-owned RBI subsidiary, presses at Mysore & Salboni. **CCIL** (Clearing Corporation of India) — established **30 April 2001 ★**, RBI initiative, safe clearing/settlement for money/G-Sec/forex markets.

TRAP Statutory Liquidity Ratio (SLR) ★ = mandatory reserve in **cash, gold, or approved govt securities** held by the bank itself — the correct answer to "mandatory liquid-asset requirement" questions (not CRR, current ratio, or margin ratio).

8 Basel Norms & NPA Classification

Accord	Year	Key point
Basel-I	1988 (India: 1999)	Focus: credit risk; min. capital 8% of RWA
Basel-II	2004	Introduced CAR/CRAR = $(\text{Tier1} + \text{Tier2 Capital}) / \text{RWA} \times 100$
Basel-III	2010	CAR 10.5% (Tier1 6% + Tier2 2% + Capital Conservation Buffer 2.5%); India's RBI-mandated CAR = 11.5%

NPA = loan overdue >90 days. Substandard: >90 days but <12 months; Doubtful: >12 months; Loss: uncollectible. **Bad Banks (2021 Budget)**: NARCL + IDRCL. **SARFAESI Act 2002** = banks can seize defaulters' property. **IBC 2016** = resolves Twin Balance Sheet Problem via CIRP; moratorium 180 days (extendable to 270); NCLT (first instance) → NCLAT (appeals).

9 Financial Inclusion, PSU Classification & Reports

HOOK **Financial Inclusion Index (FI-Index) ★** — RBI's 3 parameters: **Access, Usage, Quality ★** (a tested "which is a parameter" question — both Access and Usage are correct). **Disinvestment ★** = govt **selling its own PSU shares ★** (LIC, BPCL, Air India examples) — raises resources, brings private efficiency (not purchasing shares or allowing FDI — tested distractors).

RBI publishes ★: Financial Stability Report (FSR, twice yearly, banking-system risk) + Database on Indian Economy (DBIE, macro data) — both correct in a tested "which does RBI publish" question.

PSU Category ★	Example
Maharatna	SAIL (per PYQ's tested match)
Navratna	MTNL
Miniratna (Category-I)	IRCTC (Indian Railway Catering & Tourism Corporation)

Payment & Settlement Systems Act, 2007 — governs UPI/NEFT/RTGS/Credit Cards, all regulated by RBI. **PSL (Priority Sector Lending)**: Commercial banks must allocate **40% of ANBC ★** to PSL; RRBs/SFBs 75%; Agriculture sub-target 18%; Weaker Sections 12%.

Appendix

A.1 — PYQ citation index

Fact tested	Exam · Date · Shift
Modern currency = fiat money, not gold-backed	SSC CGL Tier-I, 25/09/2025 (Sh-03)
Reserve Money NOT = "Savings Money"	SSC Phase XIII, 29/07/2025 (Sh-03)
Cambridge approach = Cash Balance Approach	SSC Phase XIII, 31/07/2025 (Sh-03)
Keynesian theory of demand for money = Liquidity Preference	SSC Phase XIII, 28/07/2025 (Sh-03)
Financial intermediaries transmit MPC policy (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-01)
CRR/SLR ↑ reduces (not increases) lending capacity (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Money multiplier factors (cash leakage, reserves, CRR)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
Post-1991 banking reform = prudential norms/CRAR	SSC Stenographer, 08/08/2025 (Sh-02)
Narasimham-II: merge/consolidate PSBs	SSC Stenographer, 07/08/2025 (Sh-01)
BFS established 1994, post-1991 reforms	SSC Stenographer, 06/08/2025 (Sh-03)
Bank deposits = liability; OMO; Bank Rate (statements)	SSC Stenographer, 06/08/2025 (Sh-02)
Narasimham-I: foreign banks encouraged to expand	SSC Stenographer, 06/08/2025 (Sh-02)
Bank nationalisation year = 1969	SSC Phase XIII, 29/08/2025 (Sh-01)
Banking Ombudsman Scheme first introduced 1995	SSC CHSL Tier-I, 30/11/2025 (Sh-02)

Malhotra Committee report year = 1994	SSC CHSL Tier-I, 28/11/2025 (Sh-02); 24/11/2025 (Sh-02, constituted 1993)
BCSBI set up 18 Feb 2006	SSC CHSL Tier-I, 25/11/2025 (Sh-03)
BCSBI Code of Commitment, July 2006	SSC CHSL Tier-I, 22/11/2025 (Sh-03)
BRBNMPL established 3 Feb 1995	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SLR = mandatory liquid-asset (gold/G-Sec) requirement	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Expansionary monetary policy = rate cut to stimulate growth	SSC Phase XIII, 28/07/2025 (Sh-02)
Repo rate definition	SSC Stenographer, 08/08/2025 (Sh-03)
RBI Governors chronological order	SSC Stenographer, 06/08/2025 (Sh-03)
Debt monetisation = RBI buys govt bonds directly	SSC Phase XIII, 26/07/2025 (Sh-02)
RBI publishes FSR + DBIE	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
FI-Index parameters: Access, Usage	SSC CHSL Tier-I, 19/11/2025 (Sh-01)
Disinvestment = selling PSU shares	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
Maharatna/Navratna/Miniratna match (SAIL/MTNL/IRCTC)	SSC Stenographer, 07/08/2025 (Sh-03)
CCIL established 2001	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
SEBI Insider Trading Regulations = 1992	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
PFRDA established 2003	SSC CHSL Tier-I, 17/11/2025 (Sh-03)
SEBI underwriter regulations = 1993	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
IRDAI objective = protect policyholders	SSC Stenographer, 08/08/2025 (Sh-02)

A.2 — PYQ-book-only facts

Board for Financial Supervision (BFS, established 1994) and the Banking Codes and Standards Board of India (BCSBI, set up 2006) are NOT in Parmar Ch.6-8 or Lucent §9/§11 — both sourced transparently to the PYQ book's own explanation text.

A.3 — Doubts carried forward

India's "12 Nationalised Banks" figure (pre-2019-20-merger count, not reconciled), MFI/PSL percentage thresholds and NBFC-MFI asset ratios (all regulatory, time-sensitive per the raw extraction's own flags) — not independently verified.

A.4 — Deliberately condensed

Lucent §9's full regulators-with-chairpersons table (as of a specific 2025 date) and §11's complete stock-exchange/credit-rating-agency catalogue are condensed to the specific facts PYQs actually test (SEBI/IRDAI/PFRDA roles, CCIL), since neither is otherwise queried at line-item granularity in this bucket.